



Microsoft Dynamics 365
Finance Operations

PROJECT MANAGEMENT AND ACCOUNTING CONFIGURATION GUIDE

(TIME AND MATERIAL PROJECT)

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PROJECT MANAGEMENT AND ACCOUNTING CONFIGURATION GUIDE

Project Group:

A Project Group helps decide where project-related transactions (like hours, expenses, items, or advance payments) should be posted — either to Profit and Loss accounts or Balance Sheet accounts. Each project must be linked to a project group that matches its project type (like Time & Material or Fixed Price). If you move a project to a different project group, and that group is meant for another project type, then the project's type will also automatically change to match the new group.

Short term projects use P&L accounts directly, while bigger, long-term projects use balance sheet accounts to manage income and expenses more accurately.

There are six different project types that help companies manage their work more effectively. Each type is made for a specific kind of project, so businesses can handle different tasks in the best way. One of them is Time and Material project type.

The screenshot shows the 'Project groups' configuration page in Microsoft Dynamics 365 Finance and Operations. The page is titled 'Project groups' and is part of the 'Project management and accounting' setup. The left sidebar lists various project types: FP_CompP, FP_SL, FP_WBS, Investment, Time, TM_NoWIP, and TM_WIP. The main area is divided into sections: General, Ledger, and Estimate. The 'General' section includes fields for Project type (Time and material), Ledger posting search priority (Category), Line property search priority (Category), and Default line property (Billable). The 'Ledger' section includes fields for Post costs - hour (Profit and loss), Post costs - item (Profit and loss), Post costs - expense (Profit and loss), On-account invoicing (Balance), Accrue revenue - hour (Yes), Accrue revenue - item (Yes), Accrue revenue - expense (Yes), and Accrue revenue - fee (Yes). The 'Estimate' section includes fields for Revenue recognition accounting (None), Cost template, Sales value, and Production. The 'TM_WIP' project group is selected in the sidebar.

Project group	Name
TM_WIP	Time and Materials - WIP

General

Project type	Ledger posting search priority	Line property search priority	Default line property
Time and material	Category	Category	Billable

Verify cost against remaining for... ☐ No

Ledger

Post costs - hour	Post costs - item	Accrue revenue - hour	Accrue revenue - item
Profit and loss	Profit and loss	☒ Yes	☒ Yes
Post costs - expense	On-account invoicing	Accrue revenue - expense	Accrue revenue - fee
Profit and loss	Balance	☒ Yes	☒ Yes

Estimate

FIXED-PRICE	REVENUE RECOGNITION	SET UP CATEGORIES FOR ESTIMATE	Profit
Revenue recognition accounting ...	Cost template	Sales value	Accrued loss to Settings to activate Windows.
None			
Calculation method	Period code	Production	

Time and Material Project:

Time and Material is the most commonly used project type. It is best for projects where the customer is charged based on the actual hours worked, fees, items used, and expenses during the project. For Example, building a new house, where the customer is billed for things like worker hours, admin charges, material costs, and other expenses. The company earns revenue after sending the invoice for these costs.

Category Group:

Category Groups are a required part of setting up project categories. As the name says, they help group similar project categories based on the type of transaction — like hours, expenses, fees, or items. These groups also help decide which accounts the project's costs and revenues should go to. User can either:

Use the account setup from the category group or set up the accounts directly on each project category if user want more control and want to customize them as needed.

The screenshot shows the 'Category groups' setup screen in Microsoft Dynamics 365 Finance and Operations. The left-hand navigation pane lists various project categories, with 'Estimate Fee' selected. The main area displays a table with columns for 'Category group', 'Transaction type', 'Category group name', and 'Line property'. The 'Estimate' group is highlighted, and its 'Fee' transaction type is selected. Below this, there are sections for 'Cost accounts' and 'Revenue accounts', each containing a grid of input fields for various account types like 'Cost', 'WIP - cost value', 'WIP - cost value - item', 'WIP - accrued loss', 'Payroll allocation', 'Cost - item', 'Accrued loss', 'Invoiced revenue', 'WIP - sales value', 'WIP - production', 'WIP - profit', 'Accrued revenue - sales value', 'Accrued revenue - production', 'Accrued revenue - profit', 'Accrued revenue - subscription', and 'WIP - subscription'.

Shared Categories:

Shared categories are required before you can create project categories. They allow the same category to be used across all legal entities and modules in the company. This is useful when, for example, an employee from one legal entity works on a project for another legal entity. When setting up a shared category, you can choose where it can be used — like in projects, expenses, production, or more than one area. This means one category can be shared across different parts

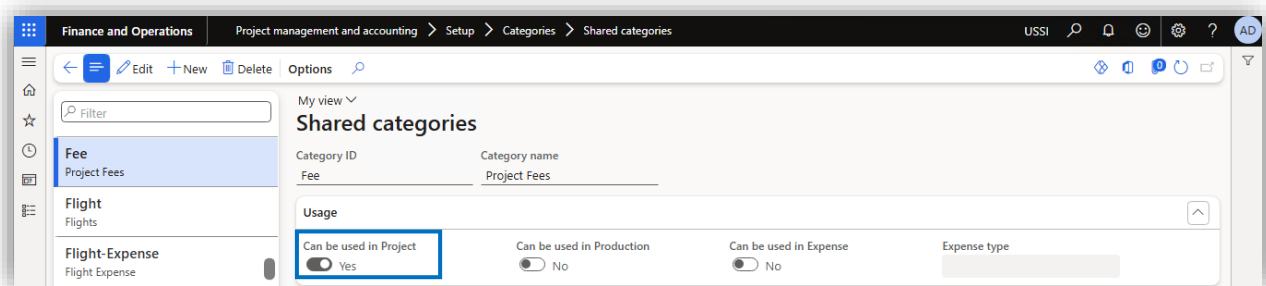
of the system. Also, user can't create a project category in a legal entity unless a shared category with the same name already exists.

Project category groups serve several purposes:

- **Grouping Similar Cost Categories:** They allow you to group similar cost categories together, such as worker hours, materials, and travel expenses.
- **Default Ledger Posting:** You can set up default ledger posting configurations by category group.
- **Line Properties:** Line properties can be configured by category group.

Category groups are categorized into four types:

1. Fee
2. Hour
3. Expense
4. Item



Project Categories:

Categories represent different types of costs or revenues for the whole organization. Each category must be linked to a category group, and both are set up based on specific transaction types (like hours, expenses, items, etc.) used in Project Management and Accounting. Before a worker can enter timesheet hours for a category, their profile must be connected to that category using the Worker/Category Validation Groups setup.

NOTE: The category's type must match the type of its category group.

The benefit of organizing categories and category groups by type is that it makes data entry easier and more accurate. For example, when you're entering an expense transaction, you'll only see

expense-type categories to choose from. This helps ensure you pick the right category and avoid mistakes.

Line Properties:

Line Properties are used to set default settings for different types of project transaction lines — like hours, fees, expenses, and items.

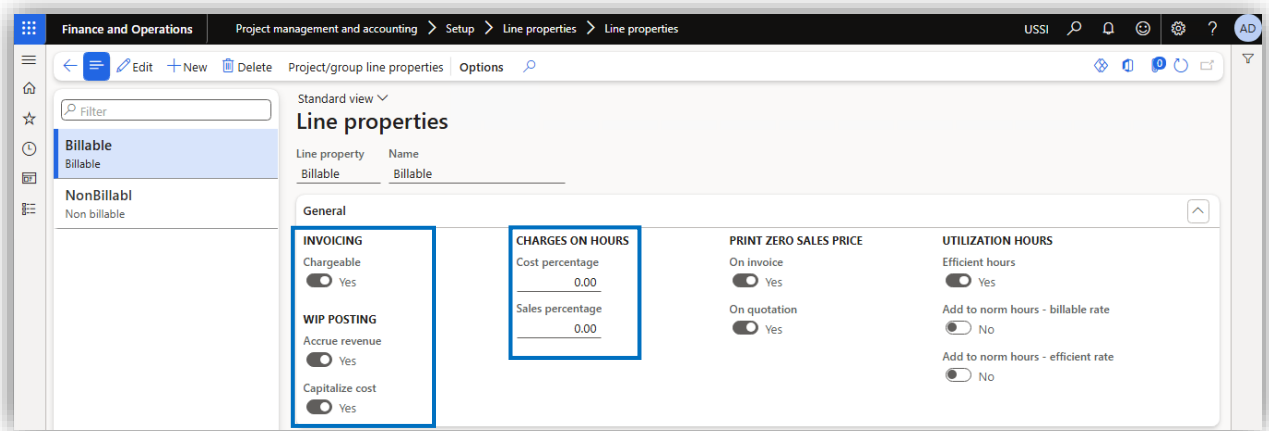
It helps user in adding extra cost or sales percentages (especially for hour transactions) and save time by automatically applying these settings to journals, invoices, and postings. This reduces manual work and keeps things consistent.

Line Properties for Time and Material Projects:

Line properties manage key things like:

- **Chargeability:** Whether the cost can be billed to the customer or not.
- **Accrual Status:** Whether sales revenue is recorded over time or only when invoiced.
- **Capitalization:** Whether the cost should be treated as a fixed asset.

User can set default line properties at different levels, such as project, project group, category, or category group. If user don't set these defaults, you'll have to manually choose a line property every time you enter a transaction. Also, if user set a default line property directly on a project, it will override any default set at the group level. This lets you customize line properties for each project as needed.



Project Contract:

Project contracts that you can create for various types of projects and funding sources, and how you can manage contracts and invoice project customers.

The type of project that you create for a project contract determines the method that is used to invoice project customers. You can change a project contract and the related project, but you can't change the project type.

By using a project contract, you can invoice one or more projects at the same time. The project contract also helps guarantee a consistent invoicing procedure for every subproject in a project structure.

Every project that is invoiced must be associated with a project contract. The settings for a project contract apply to all projects and subprojects that are associated with that project contract.

A project contract can specify one or more sources of funding. Therefore, you can split the billing among multiple funders, set up funding limits so that funding sources aren't billed more than a specified amount, and configure funding rules for charging expenditures.

Finance and Operations | Project management and accounting > Projects > Project contracts

Project contract | Plan | Maintain | Control | Options

Maintain
Edit
Edit in grid
New project

Set up
Fixed rate agreement
Print management
Show default accounting

Cost prices
Hours
Expenses
Transfer prices

Sales prices
Hours
Fees
Expenses
Subscriptions

Related information
Projects

Project contracts
Standard view

Filter: [Active] Legal entity: [ussi]

Project contract...	Name	Customer account	Customer name	Legal e...	Sales curre...	Invoice frequency	Integration s
00000001	City Manufacturing	US_SI_0121	City Manufacturing	ussi	USD	Weekly	
00000002	Contoso Consulting	US_SI_0122	Contoso Consulting	ussi	USD	Weekly	
00000016	Mechanical Products Ltd.	US_SI_0084	Mechanical Products Ltd.	ussi	USD	Weekly	
00000019	Recreation Systems	US_SI_0097	Recreation Systems	ussi	USD	Weekly	
00000053	City Manufacturing	US_SI_0121	City Manufacturing	ussi	USD	Weekly	
00000089	City Manufacturing	US_SI_0121	City Manufacturing	ussi	USD	Weekly	
00000090	Contoso Consulting	US_SI_0122	Contoso Consulting	ussi	USD	Weekly	
00000091	Recreation Systems	US_SI_0097	Recreation Systems	ussi	USD	Weekly	
00000092	Cycles Sales and Repair	US_SI_0123	Cycles Sales and Repair	ussi	USD	Weekly	
00000093	Fun Times Club	US_SI_0124	Fun Times Club	ussi	USD	Weekly	
00000094	Professional Containers a...	US_SI_0125	Professional Containers a...	ussi	USD	Weekly	

New project contract

Project contract ID: [00000155]

Name: [Active Transport Inc.]

Funding type: [Customer]

Funding source: [US_SI_0002]

Sales currency: [USD]

Activate Windows
Go to Settings to activate Windows

OK Cancel

Finance and Operations | Project management and accounting > Projects > Project contracts

Save + New Delete Project contract Plan Maintain Control Options

Statements
Project statements
Cash flow

Control
Invoice control
Cost control
Committed cost

Utilization
Hour utilization

Retention
Vendor invoices
Customer retained payments

Project contracts | 00000155 : Active Transport Inc. | Standard view

00000155 : Active Transport Inc.

Funding limits

+ Add Remove Committed details

Funding source	Project ID	Activity number	Transaction type	Category group	Category	Resource	Item number	Amount	Cr
Active Transpo...			All					10,000.00	

Funding rules

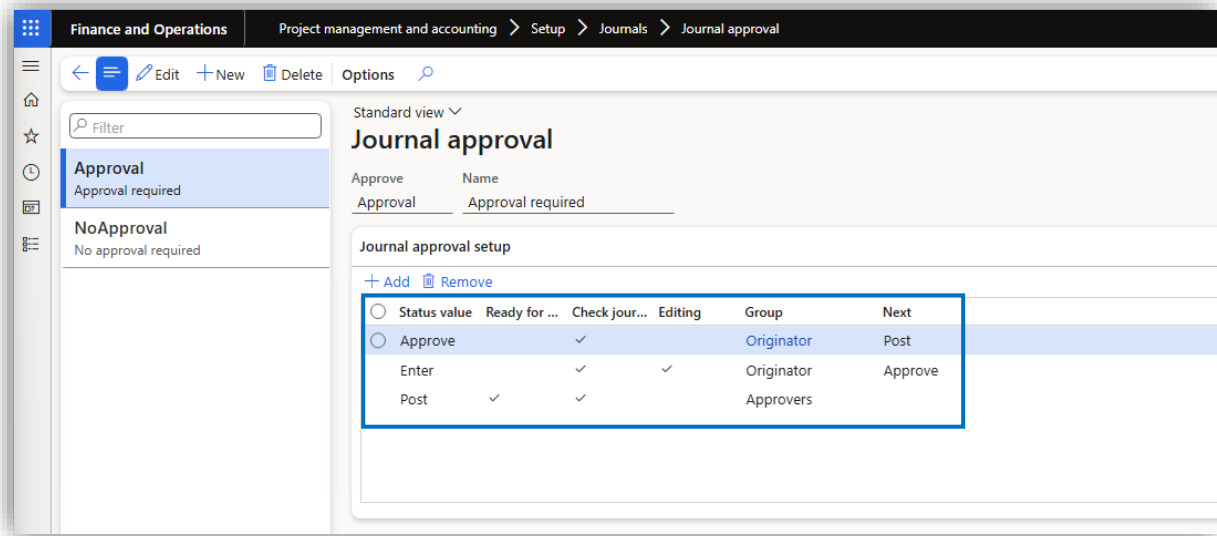
+ Add Remove Allocation

Priority	Project ID	Activity number	Transaction type	Category group	Category	Resource	Item number	Start date	End
1			All						

Activate Windows
Go to Settings to activate Windows

Journal Approval in Project Management:

Navigation: Project management and accounting > Setup > Journal > Journal approval



- When the **Check journal** option is enabled, only users who belong to the group selected in the **Group** column are allowed to check the journal.
- When both **Check journal** and **Editing** options are enabled, only users in the selected group can check the journal and are also allowed to edit it.
- When both **Check journal** and **Post** options are enabled, only users in the selected group can check the journal and are also authorized to post it.

This setup ensures that journal checking, editing, and posting rights are controlled according to user groups.

Navigation: Project management and accounting > Setup > Journal > Journal names
Journal approval code has to be set on the journal name in approval field.

The screenshot displays the 'Journal names' configuration page in Microsoft Dynamics 365 Finance and Operations. The breadcrumb navigation at the top reads: Finance and Operations > Project management and accounting > Setup > Journals > Journal names. The left-hand navigation pane lists several journal types: BegBal (Beginning balances journal), Fee (Fee journal), Hours (Hours, no approval journal), and HoursApp (Hours, approval req. journal), which is currently selected. The main area is titled 'Journal names' and shows the configuration for the 'HoursApp' journal. The 'Name' field is 'HoursApp' and the 'Description' is 'Hours, approval req. journal'. The 'General' section includes fields for 'Journal type' (Hour), 'Selection by' (Entry), 'New voucher by' (Change voucher date), 'VOUCHER DATE' (Set voucher date to, Project period end date), 'BLOCKING' (Private for user group), and 'TIMESHEET' (Show start/end times, No). The 'APPROVAL' section is highlighted with a blue box and contains two options: 'Approve' and 'Approval'.

Journal names	
Name	Description
HoursApp	Hours, approval req. journal
General	
IDENTIFICATION	Selection by
Journal type	Entry
Hour	New voucher by
	Change voucher date
VOUCHER	VOUCHER DATE
Voucher series	Set voucher date to
Proj_115	Project period end date
	BLOCKING
	Private for user group
	TIMESHEET
	Show start/end times
	No
	APPROVAL
	Approve
	Approval